

Glossary: Foundations of IT Service Management and Risk Governance

Welcome! This alphabetized glossary contains many of the terms you'll find within this course. This comprehensive glossary also includes additional industry-recognized terms not used in course videos. These terms are important for you to recognize when working in the industry, participating in user groups, and participating in other certificate programs.

Term	Definition
Annualized Loss Expectancy (ALE)	Predicts the yearly financial loss attributable to a specific risk, calculated by multiplying the Single Loss Expectancy (SLE) by the Annualized Rate of Occurrence (ARO).
Annualized Rate of Occurrence (ARO)	Estimates the frequency with which a specific risk is anticipated to occur within a year.
Business Partner Agreement (BPA)	Outlines the terms of a partnership between businesses, covering things like profit-sharing and who's responsible for what.
Configuration Item (CI)	An asset in CMDB.
Configuration Management Database (CMDB)	A detailed digital directory that catalogs all the critical IT assets of an organization's IT environment.
Continual Service Improvement (CSI)	An ITIL process ensures that IT services evolve with changing business needs and deliver increasing value to the organization.
Deming Cycle (Plan-Do-Check-Act)	A practice to manage and instigate change effectively, ensuring that improvements are measured and evaluated against set objectives for tangible outcomes.
Due diligence	The comprehensive research and analysis completed before entering into a business transaction or agreement to ensure that all relevant information is known.
Exposure Factor (EF)	Represents the percentage of loss an asset would incur from a particular threat.
Impact	Denotes the effect of a risk event on an organization, ranging from minor inconvenience to significant operational disruption or financial loss.
Information Technology Infrastructure Library (ITIL)	Represents a comprehensive set of guidelines developed to standardize the selection, planning, delivery, and support of IT services to businesses.
Intangible assets	Non-physical assets such as software licenses and versions, documentation, and service agreements.
IT Service Management (ITSM)	Refers to the entire spectrum of activities, policies, and processes organizations use to design, implement, manage, and improve IT services.
Likelihood	The probability or chance of a specific event or outcome occurring in a given situation. Commonly used in qualitative assessments.
Master Service Agreement (MSA)	Sets out the general terms and conditions for future projects, making it easier to get things done without having to negotiate every time.
Memorandum of Agreement (MOA)	A less formal agreement is often used to outline cooperation between different entities.
Memorandum of Understanding (MOU)	A non-binding agreement that outlines the terms and intention to work together towards a common goal.
Non-Disclosure Agreement (NDA)	A legally binding contract that outlines what information should be kept confidential and the consequences of non-compliance.
Penetration testing	Involves conducting thorough security tests on the vendor's systems to identify vulnerabilities that cyber attackers could potentially exploit.
Probability	The measure of the likelihood or chance that a specific event will occur. Is employed in quantitative analysis.
Qualitative risk analysis	This method emphasizes identifying and categorizing risks based on severity and probability, avoiding precise numerical values.
Quantitative risk analysis	This approach quantifies risk in monetary terms, enabling a more objective evaluation.
Risk appetite	The amount of risk the company is willing to take to pursue its goals.

Risk assessment	The process of identifying, analyzing, and evaluating potential risks to determine their likelihood and impact on a project, operation, or organization.
Risk identification	A critical first step in risk management is systematically recognizing potential risks that could threaten a company's objectives.
Risk mitigation	The use of strategies that aim to reduce the likelihood or impact of risks to an acceptable level.
Risk prioritization	A critical phase in the risk management process where identified risks are ranked based on their potential impact on the organization and the likelihood of their occurrence.
Risk tolerance	Refers to the level of risk a company is willing to endure to achieve its objectives.
Service continuity management	Ensures that the IT service provider can always provide minimum agreed service levels by reducing the risk to an acceptable level and planning to recover IT services.
Service design	An ITIL process is pivotal for verifying that new, modified, or retired services meet the organization's business objectives and stakeholder expectations.
Service-Level Agreement (SLA)	Lays out what level of service you expect from a provider and what happens if they don't meet those expectations.
Service operation	The stage in the ITIL framework where IT services are delivered and managed daily.
Service strategy	An ITIL process lays the groundwork for creating customer value through IT services. It focuses on developing the organization's market, identifying the services that will meet the customers' needs, and determining how to leverage these services to achieve strategic objectives.
Service transition	An ITIL process is essential in moving services from the design stage to the operational stage.
Single Loss Expectancy (SLE)	Evaluates the monetary loss from a single risk event occurrence by multiplying the asset value by the exposure factor (EF).
Statement of Work (SOW)	A formal document that specifies the details of a particular job to be completed by a contractor or service provider.
Strengths, Weaknesses, Opportunities, and Threats (SWOT)	A strategic framework used to evaluate a company's competitive position by identifying its strengths, weaknesses, opportunities, and threats.
Tangible assets	Physical assets with measurable financial value, such as servers, computers, printers, and routers.



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